ARCHITECTURE DISCUSSION

Private Markets Cash Management

Capabilities, consumers, funding decisions and platform boundaries

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PUBLIC PORTFOLIO

Can this trade settle?

PRIVATE FUND / GP

How will we fund it?

INSTITUTIONAL LP

Can we meet the calls?

Private markets add commitment obligations and uncertain funding to ordinary bank-cash management.

The same word “cash” supports three different decisions

Do not treat private-market cash as a longer-duration version of ordinary portfolio cash.

LIQUID PORTFOLIO

Public-market fund / SMA

Can the portfolio meet settlements?

INPUTS

Bank + custodian + trades + investor flows

MODEL

Known/expected receipts and payments

ACTION

Invest surplus · raise cash · resolve shortfall

PRIVATE FUND / GP

Fund sponsor and manager

How do we fund investments?

INPUTS

LP commitments + closings + financing

MODEL

Called capital, deal obligations, distributions

ACTION

Call capital · bridge · pay closing

FUND INVESTOR / LP

Pension / endowment / fund of funds

Can we meet future capital calls?

INPUTS

GP notices + holdings + liquidity reserves

MODEL

Unfunded commitments and pacing scenarios

ACTION

Hold liquidity · pace · rebalance

Private markets are not one operating model

Different vehicles change the source of cash obligations and the required decision horizon.

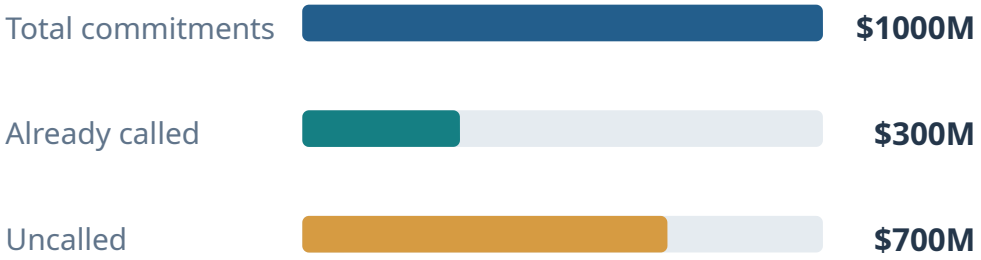
Vehicle / strategy	Primary cash drivers	Special cash capability
Closed-end PE / VC	LP calls, acquisition closings, exits	Commitments, closing funding, distributions
Private credit	Loan advances, repayments, interest	Borrower drawdowns and unfunded loan exposure
Real assets / infrastructure	Acquisitions, capex milestones, debt	Project cash schedules and financing
Private fund of funds (LP)	Underlying GP calls and distributions	Pacing, liquidity reserves, overcommitment
Evergreen / interval / BDC	Subscriptions, limited repurchases, assets	Investor liquidity versus illiquid investments

Special case: semi-liquid vehicles combine private-asset funding with recurring investor repurchase requirements.

Fund manager: cash required to close an investment

A $1B hypothetical closed-end fund: commitments are funding rights, not bank cash.

CAPITAL STRUCTURE



SETTLED BANK CASH

$25M

Uncalled $700M cannot be paid directly to a seller.

INVESTMENT CLOSING FUNDING TEST

Acquisition payment	+ $90M
Follow-on funding	+ $15M
Required reserve	+ $10M
Less current bank cash	- $25M
Funding gap before uncertain proceeds	**$90M**

If a $20M portfolio distribution arrives on time, the gap falls to $70M; until confirmed, it is not cash.

Institutional LP / fund of funds: prepare for capital calls

The LP faces an externally determined payment schedule across multiple underlying managers.

30-DAY LIQUIDITY TEST

Confirmed capital calls due	**$42M**
Liquidity reserve required	**$10M**
Liquid cash available	**- $30M**
Firm funding gap	**$22M**
Expected but unconfirmed distributions:	**$18M**

Optimistic gap if distributions arrive: $4M

WHY THE LP FORECAST IS DIFFERENT

External timing	The underlying GP determines call dates; notice may be short.
Multiple managers	Calls can cluster across strategies and vintages.
Distribution risk	Exits may slow when calls remain due.
Liquidity planning	Liquid assets may need to be sold ahead of payment.
Pacing decision	New commitments today create possible future funding obligations.

Which capabilities are common — and which are genuinely different?

The overlap is strongest in bank cash, dated movements and reporting, not in the full operating lifecycle.

Capability	Liquid portfolio cash	Private fund manager / GP	Institutional LP / FoF
Actual cash & bank reconciliation	Core	Core	Core
Trade settlement outlook	Core	Where relevant	Liquid reserve portfolio
Investor subscriptions / dealing	Core for open-end funds	Capital-call allocations	Not the same workflow
Unfunded commitments	Usually not central	LP callable capital	Owed to underlying GPs
Investment funding / loan draws	Trade-driven	Closing / borrower draws	GP calls
Forecast horizon	Intraday to 90 days	Near-term + multi-year	Near-term + multi-year
Liquidity / funding decision	Cash available for trade	Call / borrow / fund deal	Reserves / pacing / liquidate
Distributions and waterfall	Shareholder distributions	LP allocation and waterfall	Expected/received GP distributions
Primary user	PMs, traders, ops	Fund finance, deal teams	Treasury, allocator, LP ops

Who actually uses private-markets cash outputs?

A cash system should be designed around the decisions its consumers make—not simply the reports it generates.

Primary consumer	Cash output consumed	Decision / action
GP Fund finance & treasury	Liquidity waterfall, callable capital, facility capacity	Issue call, borrow, approve transfers
GP Investment / deal team	Closing readiness; obligation dates and coverage	Proceed, defer or resize investment
Private investment operations	Due/received funding, unmatched wires, exceptions	Chase, reconcile and release payments
GP Fund accounting / administrator	Contributions, distributions, cash events	Record partner and fund accounts
Investor relations / LP servicing	Call notices, distributions, remaining obligations	Communicate and service investors
LP Treasury / liquidity team	Calls due, available liquid reserves, shortfall scenarios	Raise or reserve liquid funds
LP CIO / allocation team	Pacing, remaining commitments, net-cash outlook	Approve future commitments / allocation
Risk / investment oversight	Stress gaps, exposures, concentration, facilities	Set limits, escalate potential shortfall

The dominant end users are fund finance, investment operations and LP liquidity/allocator teams — rather than only public-market PMs and traders.

Private-market output is richer than “available cash”

The key outputs must preserve legal ownership, time, contractual status and certainty.

Business output	Content that must be explicit	Primary consumer
CURRENT CASH	Bank/administrator cash by entity, account, currency and as-of	Finance, operations
COMMITMENT EXPOSURE	Uncalled LP capital; unfunded deal/loan commitments; eligibility	Fund finance, LP allocator
DATED OBLIGATIONS	Funding amount, due date, approval, beneficiary and legal terms	Treasury, deal teams, LP ops
FUNDING SOURCES	Received capital, called receivable, approved borrowings, expected exits	Fund treasury
LIQUIDITY OUTLOOK	Base/stress projections, source reliability, gap and reserve	Treasury, investment/risk
ALLOCATION / PAYMENT	Investor allocations, transfers, distributions, payment status	Administrator, investor servicing

Required dimensions: fund / legal entity · currency · account · due/value date · event identifier · actual/confirmed/estimated/scenario · source · version.

Time horizon changes the answer — not only the chart scale

Daily funding controls and long-term liquidity plans must coexist for private markets.

PUBLIC PORTFOLIO

Intraday	Settled bank cash and breaks
Days / weeks	Trade, FX, margin, dealing flows
30–90 days	Maturities and projected flows

“Can this transaction settle?”

GP PRIVATE FUND

Days	Closing and capital-call deadlines
Months	Pipeline, borrower draws, financing
Years	Realizations, fund life, leverage

“Will the fund be ready to pay?”

LP / FUND OF FUNDS

Days	Underlying GP notices
Quarters	Calls less expected distributions
Years	Commitment pacing and overhang

“Can we fund the entire program?”

Separate business processing; integrate cash information

Common reporting does not require a single transactional cash platform.

LIQUID PORTFOLIO CASH

Bank/custody and trade flows

- Reconciliation + baseline policy
- Movement lifecycle / settlements
- Cash availability + 0–90d outlook

GP PRIVATE FUND CASH

Capital partners + investment deals

- Commitment / call receivables
- Closings + credit facilities
- Funding and distribution outlook

LP COMMITMENT LIQUIDITY

Underlying funds + liquid portfolio

- GP notice ingestion / confirmation
- Unfunded obligation register
- Pacing + liquidity stress scenarios

ENTERPRISE CASH & LIQUIDITY CONTRACTS

Actual bank movements · dated expected flows · funding gaps · funding constraints · confidence / status

Each platform retains authoritative domain records and business controls. Enterprise visibility consumes published outputs.

What should be shared, and what should remain separate?

Test business object, ownership and decision reuse before agreeing on platform consolidation.

GOOD CANDIDATES FOR SHARED SERVICES / CONTRACTS

- Bank and custodian integration standards
- Fund, account, currency and legal-entity identity
- Actual dated cash movement representation
- Source status, audit, replay and exception standards
- Enterprise cash and liquidity aggregation

KEEP WITHIN SPECIALIZED BUSINESS DOMAINS

- GP investor commitments and callable balances
- Capital-call allocation, notices and collections
- Investment-closing, loan and facility management
- Distribution waterfalls and investor accounts
- LP overcommitment, pacing and stress models

Boundary test: if a capability owns a different contractual lifecycle or decision, reuse the interface rather than force the processing together.

Architectural recommendation and decision points

Define private-market cash around investment structures and consumer decisions, not as an extension of an existing cash UI.

RECOMMENDED DIRECTION

1. **Define GP versus LP scope**

   Identify which vehicles are managed funds and which are underlying investments.

2. **Map the funding obligations**

   Trace cash from investor commitment or GP notice through due date, payment and reconciliation.

3. **Identify the real consumers**

   Fund treasury, deal teams, investment operations, and LP liquidity/allocation teams.

4. **Preserve specialized processing**

   Use common bank cash and published forecast interfaces where valuable, not a universal workflow.

QUESTIONS FOR THE BUSINESS

- Do we act as GP, LP, or both?
- Which fund structures matter?
- Who owns capital calls and investor accounting?
- How are closings and funding coordinated?
- How accurate must near-term and long-term forecasts be?

Industry reference points and model assumptions

Sources support the operating patterns; all examples are hypothetical and not based on any particular manager.

SEC — Starting a Private Fund
https://www.sec.gov/about/starting-private-fund

ILPA — Capital Call & Distribution Template (2025)
https://ilpa.org/industry-guidance/templates-standards-model-documents/ilpa-templates-hub/ilpa-capital-call-distribution-template/

ILPA — Subscription Lines of Credit Guidance
https://ilpa.org/industry-guidance/principles-best-practices/subscription-lines-of-credit/

ILPA — NAV-based Facilities Guidance
https://ilpa.org/industry-guidance/principles-best-practices/nav-based-facilities-guidance-roadmap/

SEC Investor Bulletin — Interval Funds
https://www.investor.gov/introduction-investing/general-resources/news-alerts/alerts-bulletins/investor-bulletins/investor-bulletin-interval-funds

Federal Reserve — The Rise of Semiliquid Funds (2026)
https://www.federalreserve.gov/econres/notes/feds-notes/the-rise-of-semiliquid-funds-for-retail-investors-20261014.html

All financial amounts, processing schedules and business examples in this presentation are illustrative.